

NEXOVA TECHNOLOGIES PVT. LTD.

Q1 2025 INTERNAL BUDGET REPORT

January 1 – March 31, 2025

INTERNAL — CONFIDENTIAL — NOT FOR EXTERNAL DISTRIBUTION

Prepared by	Finance Department, Nexova Technologies Pvt. Ltd.
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Report Period	Q1 2025 (January 1 – March 31, 2025)
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1. Executive Summary

Nexova Technologies Pvt. Ltd. closed Q1 2025 with total revenue of USD 2.34 million against a budgeted target of USD 2.50 million, representing an overall revenue shortfall of USD 160,000 (–6.4%). While SaaS Subscriptions delivered a positive variance of +6%, partially offsetting underperformance in other streams, the Professional Services division recorded the most significant miss at –18%, primarily attributable to delayed project kick-offs and extended client procurement timelines.

On the expenditure side, total operating expenses came in at PKR 428.6 million against a budget of PKR 418.2 million, reflecting an aggregate overspend of PKR 10.4 million (+2.5%). Cloud infrastructure costs (AWS/GCP) were the principal driver of overspend in Engineering, while a deferred marketing campaign reduced Sales & Marketing spend, partially compensating. Headcount finished the quarter at 342 against a budgeted 335, with seven unplanned hires adding PKR 8.2 million to payroll.

Key Highlights

- Positive:** (1) SaaS Subscriptions grew 6% above budget, indicating strong product-market fit and renewal momentum in the core revenue segment. (2) Customer Success department came in 5% under budget, reflecting disciplined headcount management and reduced escalation-driven costs.
- Concerns:** (1) Professional Services revenue underperformed by 18%, creating pipeline risk for Q2 if delayed engagements are not mobilised promptly. (2) AWS/GCP infrastructure costs spiked 14% above

budget in Engineering, driven by unplanned data migration workloads and a 23% increase in compute usage — this trend must be addressed in Q2 to preserve margins.

2. Revenue Summary

All figures in USD '000. Exchange rate applied: 1 USD = PKR 278 (per Finance Policy v1.2).

Revenue Stream	Budget (USD '000)	Actual (USD '000)	Variance	Var %	Status
SaaS Subscriptions	1,060	1,124	+64	+6.0%	[UNDER]
Professional Services	620	508	-112	-18.1%	[OVER]
Training & Onboarding	230	218	-12	-5.2%	[OVER]
Support Contracts	410	398	-12	-2.9%	[OVER]
Partner Referrals	180	192	+12	+6.7%	[UNDER]
TOTAL Q1 REVENUE	2,500	2,340	-160	-6.4%	[UNDER]

Note: USD 2.34M actual vs. USD 2.50M budget. PKR equivalent: PKR 651M actual vs. PKR 695M budgeted.

3. Departmental Budget vs. Actuals

All figures in PKR '000. Engineering overspent due to AWS cost spike; Marketing underspent due to Q2 campaign deferral.

Department	Budget (PKR '000)	Actual (PKR '000)	Variance (PKR '000)	% Used	Notes
Engineering	128,000	143,360	+15,360	112%	AWS/GCP spike; unplanned data migration workload [OVER]
Sales & Marketing	96,000	88,320	-7,680	92%	Q2 campaign delayed; event costs deferred [UNDER]
HR & Operations	54,000	56,160	+2,160	104%	7 unplanned hires; onboarding costs [OVER]
Legal & Compliance	28,000	27,440	-560	98%	On track; minor advisory fee savings [UNDER]
Finance	18,000	17,640	-360	98%	On track [UNDER]

Department	Budget (PKR '000)	Actual (PKR '000)	Variance (PKR '000)	% Used	Notes
Customer Success	42,000	39,900	-2,100	95%	Reduced escalation-driven costs; headcount stable [UNDER]
TOTAL	366,000	372,820	+6,820	101.9%	Net overspend vs. budget [OVER]

4. Headcount & Payroll

Headcount Overview

Department	Budgeted HC	Actual HC	Variance	Notes
Engineering	120	124	+4	AWS migration project; 2 DevOps Engineers, 2 Cloud Architects
Sales & Marketing	62	63	+1	Regional Sales Executive — Islamabad
HR & Operations	38	40	+2	HR Business Partner + Operations Coordinator
Legal & Compliance	18	18	—	On plan
Finance	14	14	—	On plan
Customer Success	83	83	—	On plan
TOTAL	335	342	+7	7 unplanned hires — payroll impact PKR +8.2M [OVER]

Payroll Variance: PKR +8,200,000 [OVER BUDGET]

The 7 unplanned hires, primarily in Engineering and HR & Operations, drove an incremental payroll cost of PKR 8.2 million for Q1. Average monthly cost per unplanned hire: PKR 390,476. All hires were approved by respective Department Heads with Finance Manager (Bilal Chaudhry) sign-off per the approval tier policy.

Open Positions as of March 31, 2025 (14 Total)

Role	Department	Status
Senior Backend Engineer (×3)	Engineering	Final interviews in progress
Cloud Infrastructure Specialist	Engineering	Shortlisting underway

Role	Department	Status
DevSecOps Engineer	Engineering	JD approved; advertising live
Product Marketing Manager	Sales & Marketing	On hold — Q2 hiring review pending
Enterprise Account Executive	Sales & Marketing	Offer stage
Digital Marketing Specialist	Sales & Marketing	First round complete
HR Business Analyst	HR & Operations	JD finalised; advertising scheduled
Compliance Analyst	Legal & Compliance	Screening in progress
Junior Finance Analyst	Finance	Internal referral under review
Customer Success Manager (×2)	Customer Success	Panel interviews scheduled
Technical Support Engineer	Customer Success	Offer extended
QA Automation Engineer	Engineering	Shortlisting underway

5. Operating Expenses Breakdown

All figures in PKR '000. YTD figures equal Q1 actuals as this is the first quarter of the fiscal year.

Category	Q1 Budget (PKR '000)	Q1 Actual (PKR '000)	YTD Budget (PKR '000)	YTD Actual (PKR '000)	Status
Payroll & Benefits	322,500	330,700	322,500	330,700	[OVER]
Cloud Infrastructure (AWS/GCP)	22,240	25,353	22,240	25,353	[OVER]
Office & Facilities	18,060	17,640	18,060	17,640	[UNDER]
Travel & Entertainment	8,340	7,448	8,340	7,448	[UNDER]
Software Licenses	14,760	14,148	14,760	14,148	[UNDER]
Legal & Professional Fees	10,560	10,368	10,560	10,368	[UNDER]
Marketing & Events	15,840	14,580	15,840	14,580	[UNDER]
Training & Development	5,940	5,400	5,940	5,400	[UNDER]
TOTAL OPEX	418,240	425,637	418,240	425,637	[OVER +1.8%]

6. Cash Flow Summary

Item	USD	PKR '000
Opening Balance (Jan 1, 2025)	4,210,000	1,170,380
Total Cash Inflows (Revenue)	2,340,000	650,520
— Collections from AR	1,890,000	525,420
— Advance Payments Received	450,000	125,100
Total Cash Outflows (Operating)	1,531,000	425,618
— Payroll & Benefits	1,190,000	330,820
— Cloud & Infrastructure	91,200	25,354
— All Other OPEX	249,800	69,444
Net Cash Flow (Q1)	+809,000	+224,902
Closing Balance (Mar 31, 2025)	5,019,000	1,395,282

Cash Runway: 18 months at current burn rate (approx. USD 1.53M/quarter).

Accounts Receivable Status: Total outstanding AR: USD 890,000 (PKR 247.4M). **Overdue 60+ days: USD 120,000 (PKR 33.4M) — flagged as COLLECTION RISK.**

The USD 120,000 overdue balance spans three enterprise clients. The Customer Success and Finance teams have been instructed to initiate formal escalation by April 15, 2025. Failure to collect within 30 days will trigger legal review by Ayesha Naqvi (Legal Counsel).

7. Q2 2025 Forecast & Recommendations

7.1 Cost Reduction Recommendations

CR-01 — AWS/GCP Cost Optimisation

Engineering to implement auto-scaling policies and Reserved Instance purchasing for predictable workloads. Projected saving: PKR 4,200,000/quarter. Deadline: May 15, 2025. Owner: Head of Engineering.

CR-02 — Hiring Freeze — Non-Critical Roles

Immediate freeze on all non-revenue-critical open positions (6 of 14 open roles). Savings of PKR 5,600,000 estimated over Q2. Exceptions require CFO-level sign-off (Bilal Chaudhry). Effective April 12, 2025.

CR-03 — Travel & Entertainment Rationalisation

Enforce PKR 15,000/event and 10-person caps per Expense Policy v1.2. Mandatory pre-approval for all domestic travel above PKR 50,000 and all international travel. Projected Q2 saving: PKR 900,000.

7.2 Revenue Acceleration Opportunities

RA-01 — Professional Services Pipeline Activation

Mobilise 4 delayed PS engagements from Q1. Combined ARR impact: USD 320,000. Sales Director to confirm revised SOW sign-off dates by April 18, 2025. Pipeline risk mitigation requires C-suite outreach to two key enterprise clients.

RA-02 — SaaS Upsell Campaign — Existing Accounts

Launch Q2 upsell campaign targeting 85 existing mid-market accounts currently on entry-tier plans. Conversion rate target: 18%. Projected incremental MRR: USD 47,000 (USD 141,000 for Q2). Marketing budget already allocated under deferred Q1 campaign.

7.3 Q2 Revenue Forecast

Stream	Q1 Actual (USD '000)	Q2 Forecast (USD '000)	Change	Drivers
SaaS Subscriptions	1,124	1,180	+5.0%	Renewal cycle + upsell
Professional Services	508	680	+33.9%	Delayed Q1 PS mobilised
Training & Onboarding	218	235	+7.8%	2 new enterprise cohorts
Support Contracts	398	415	+4.3%	Annual renewal cycle
Partner Referrals	192	210	+9.4%	New partner agreement
TOTAL	2,340	2,720	+16.2%	Multiple initiatives

Document Control & Sign-Off

Prepared by	Reviewed by	Approved by
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Exchange rate used throughout: 1 USD = PKR 278 | Expense Policy v1.2 | Effective Date: January 1, 2025